

The Risk Markets Refuse to Price

Podcast: Know your risk

AI Executive Summary

Core Thesis The episode argues that while investors are hyper-focused on mainstream narratives like AI and inflation, they are dangerously overlooking significant "blind spot" risks—specifically geopolitical tail risks involving energy infrastructure. The speaker posits that an escalation in the Middle East or Russia-Ukraine conflict, leading to physical attacks on refineries or shipping straits, could trigger massive supply shocks and systemic market instability through unobserved leverage and margin calls.

Key Arguments & Data

- * **Market Divergence and Rotation:** While the S&P 500 recently closed down approximately 0.5% and the Nasdaq fell 1.65%, the S&P 500 Equal Weight Index (RSP) rose by 1%. This indicates a rotation out of concentrated mega-cap tech ("Mag 7") and into broader sectors like healthcare and energy.
- * **Sector Drawdowns:** The semiconductor and memory sectors are experiencing severe volatility; the SMH (semiconductor ETF) is in a 15% drawdown, while the DRAM (memory ETF) has seen an 8.8% drop recently, contributing to a nearly 35% drawdown in memory stocks in less than a month.
- * **The Danger of Hidden Leverage:** Using the Korean market as a cautionary tale, the speaker notes a 25% drawdown in the Korean market over three weeks, which led to over 3% of the Korean adult population facing margin calls. This serves as a warning regarding "under the surface" leverage in global equity trades.
- * **Commodity and Inflation Signals:**
 - * Precious metals (gold, silver, platinum, and palladium) have all hit new lows in the current move.
 - * The copper-to-gold ratio remains strong, signaling inflationary pressure and liquidity concerns.
 - * While headline inflation appeared low due to "one-off" data points, median and mean data suggest inflation remains hot.
 - * Mortgage rates have climbed above 6.5%, a multi-month high.
- * **Geopolitical Tail Risk:** The market is currently underpricing the probability of physical attacks on critical oil infrastructure (e.g., Fujairah or Yambu). Such an event would move beyond simple blockades to actual production destruction, potentially causing "limit up" price spikes in energy and destabilizing the broader macro environment.

Actionable Takeaways

- * **Stress-Test Portfolio Leverage:** Adopting Ed Thorpe's principle, investors should ask: *"Can my portfolio survive the worst-case scenario?"* If a sudden, massive spike in oil prices or an equity drawdown would lead to insolvency, you must reduce your leverage immediately.
- * **Monitor Energy Infrastructure, Not Just Headlines:** Shift focus from merely watching "the news" to monitoring specific threats to physical energy infrastructure (refineries and shipping straits) that could cause supply-side shocks.
- * **Look Beyond Headline Inflation:** When evaluating the economy, disregard "one-off" statistical anomalies in inflation reports; instead, focus on median/mean data and the cost of commodities like diesel and gasoline to gauge future interest rate volatility.
- * **Consider Broad Market Exposure:** Given the rotation from concentrated tech (Mag 7) toward equal-weight indices, look for opportunities in sectors that are currently picking up the slack, such as healthcare and energy equities.

Full Transcript

That threat is out there, and I'm not even saying it's high probability. Not at all. I really don't even view it as high probability. But it's not zero. It's not 3%. It's not 5%. It's higher. Could the market's biggest blind spots put your retirement at risk? Investors and advisors are focused on AI, inflation, and conflicting headlines. But what if the real risk to your portfolio is something the market isn't seeing? You can join Bulwark Capital, Zach Abraham, for his free Market Blind Spot webinar, July 23rd at 3.30 Pacific. At our webinar, we'll expose blind spots investors may be overlooking, threats to your portfolio in the months ahead, plus a full reveal of how Bulwark is focused on risk management, always looking for opportunities to lower your risk, lower your cost, and give your retirement as much upside as possible.

Have your questions answered during this live and free webinar. Register today at knowyourriskpodcast.com for the market blind spot webinar happening at 3.30 Pacific on July 23rd. And you can also subscribe to Zach's daily podcast on YouTube and at knowyourriskpodcast.com. That's knowyourriskpodcast.com. Investment Advisory Services offered through Trek Financial LLC. An SEC registered investment advisor. Investments involved risk and are not guaranteed. His performance doesn't guarantee future results. Trek 26111. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves risk and possible loss of principal capital. Please seek advice from a licensed professional.

All right, welcome back to another edition of the Daily Dots. You're on a Thursday, July 16th, Chase Flying Solo with you while Zach works hard on the links. I'll go through the markets, of course, and then I got just a few things to talk about, but I might spend a little extra time on markets because they're getting interesting. S&P closed the day down about half a percent. SpaceX closed the day down another 3% you're down to 131 This is one two three four five the five straight down days Eight of the last nine days have been red. So and again What that is essentially is the street front running? What is obviously going to be a deluge of insider selling? This was I don't know. I don't know to say this was really easy to see coming Given the way this was structured that you could get a pop at first and then you would have maybe a pop for index inclusion, but because of how much supply was going to come behind the IPO, to me, of course, the street was going to end up front running a bunch of that. Now, how much it gets front run before the actual selling, how much does the selling actually push you down given how much you're going to front run going in? That's going to be the hard part, but he just kind of look at global liquidity.

It contracting obviously not gonna be great for a two trillion dollar company that's doing 20 billion revenue. So the the crazy long duration bets Typically don't do wonderful during You know liquidity pickups or Flat periods or especially down periods and we're kind of gonna flat period that could become a down period and on sort of a year-over-year basis. It's kind of starting to really dry up. So I think people may see the memory names that went crazy and thought, well, liquidity can't be that bad. But that was more of an earnings story. Their earnings were just viciously being re-rated higher. So they at least had something to go on other than pure fantasy, whereas 2 trillion on 20 billion of revenue is obviously pure fantasy and hype. And frankly, Somewhere close to criminal activity when it comes to talking about where people thought their numbers were going to be in three, four, five years. Onto the other markets though, equal weight was actually up 1% today. So that is very interesting. Just to see a day where you have S&P down a half percent, the Q's are down 1.65 and have RSP equal weight up 1%.

massive outperformance now kind of unwinding the day before was basically the opposite and today you had Mac 7 down 1.3 and we'll talk a

little bit more about that. Normally when we get these memory down chip down days you have been getting Mac 7 up because this means less theoretically less money and more margins on that capex but today kind of some bad news out of Google that kind of upended that. And the other side of this trade that I've talked about, and here in the last few weeks was, I thought we were coming into a regime where you would get, you know, if you had some problems in memory and chips, you could get some decent moves in software, and we continue to see that. Now the whole software sector ETF was kind of flat today. I mean, it outperformed, but it wasn't great.

But a lot of the individual names we've talked about are still doing well. The dollar was up 0.25 today, and that led to all world XUS being down a little over one. As far as Mac 7 stuff went, you had Apple up another almost 2%, been really, really strong lately. But you had Amazon down two, Google down 4.4, and they're sure going to roll out their newest AI model, having some problems. And that's why they took the hit. Metta which looked like I wanted to break out gapped up a few days ago down two and a half today still kind of holding that break out but I Just struggled with this one. I I get I get the bull case and the bear case both the I find the bull case to be Very interesting on meta, but then I think about their capex and then I don't want to buy it But Microsoft is one of the names that I've liked from in the software space up another 1.4 Kind of highest you've been since kind of early June NVIDIA down 2.4 as chips struggled today, although NVIDIA kind of keeps doing better than kind of the broader chip index in Tesla down a little bit. Yield's not worth mentioning, super flat. Bitcoin's at 64,000. That was looking decent down the last couple of days. Oil down 0.7, the December contract down 0.4, so essentially flat there. Gold down 1.76, silver down 2.8.

gold miners down three and a half percent and that is a new low. It's a new new low in this move for gold miners, new low in this move for silver and a new low in this move for gold. So a new low across the board and precious metals complex, even platinum and palladium that had kind of perked up a little bit, getting back looking towards the looking kind of like more like they were just having a little bit of a bear flag all of a sudden, even copper down and the copper to gold ratio, that's something worth mentioning. The

Copper to Gold ratio has been really strong lately, which is A, inflationary, B kind of shows liquidity cycle, not a great spot. That's been interesting. Plus, the demand from business, from industry has been relatively strong too. Front month VIX up about 2.5%, nothing crazy.

at least not down to the day the DRAM ETF the memory ETF down 8.8% and SMH the semiconductor ETF down 3.7 and on that You're now in a 15% drawdown for chips and a 35% drawdown for memory and that is in less than a month and memory and the cost be the Korean stock market those peaked on the same day which you know, not particularly surprising and the Korea Korean market is in a 25% drawdown, and that's in like three weeks. That's a nasty drawdown for three weeks, but that was just obvious. You were getting to a point where, you know, things were going to get interesting whenever you have these 10% moves almost every day, and everyone's in two, three X ETFs for the memory companies or for the Korean market. And this move has been so bad in Korea that people were handing the numbers and said, Over 3% of the adult population in Korea have been margin-called, which is mind-blowing. So they basically took this incredible move in their stock market and they just levered it up and put it all in memory stocks. Memory stocks had a drawdown and they got blown up. Just crazy. With that said, Korea is still having an incredibly year because the the position they started this drawdown in was so strong. But I think that's it. Well, I'll go through to talk about some of these software prices. So Adobe up another 4.8% and you hired for the move above the 50 day moving average for the first time since early June. You had, you're finally getting some weakness in biotech. So I'm kind of trying to lean into that just a little bit as a time if it's gonna finally slowed down after it seemingly going straight up every day. DocuSign is another name we've liked. That was up over 4%, starting to look pretty decent on the chart. One of our favorites that we actually just added down on the day, but has looked really nice of late, kind of fighting the 200-day moving average right now is toast. Those are the biggest ones from single aims. I think I wanted to mention, and despite the fact that you had you know, oil down a smidge today. You had a lot of the energy equities doing well today to go back to, you know, equal weight being up 1% while the cues are down almost 2%. Like you had to have, you know, the health cares and the energies of the world kind of picking up the slack and they have the kind of broadening out

has been relatively decent of late. Max seven stuff can't really make new highs. Obviously, finally got, you know, the chip stocks that were holding the whole world up.

rolling over, but a lot of other stuff's picked up to kind of help step in and make up for that. One thing I wanted to talk about real quick was mortgage rates. Those kind of hit a new high, you know, going back a few months now, almost a year, I think it is six and a half percent above six and a half percent. As notable in India, you had some home sales, pending home sales come out today. The data was really rough. This stands out to me for a couple of reasons. One, obviously not great for the economy whenever housing um is in bad shape uh and another is I think it's easy to forget but if you go back to the the weekend the war began um the now almost five month old war weren't somehow uh war in Iran if you go back to that you were kind of hitting new lows on on like the tenure and and obviously in mortgage rates and the spread was compressing uh because of some of the fanny freddy um reforms that they had put in so Just to go from like, you finally would get starting to get this like real move higher in activity and real estate. And then you launch it, you know, inflationary war straight down from there. Obviously we got a nice little bump when it looked like the war was over, but then now that it's not, you kind of write back down. And along those lines, you know, I talked about, I can't really talk about on the show now today. I thought, I thought at July rate hike was possible. Then we got a super cold.

I would say, kind of misleadingly, inflation print that kind of snuffed that out. So you're only at a 10% chance of a July rate hike right now. But you're basically priced in fully between now and October. And if you think about it, October is really not that far away. I still think, even though it's sitting at 10%, that July is not impossible. You're basically two weeks out. That's 13 days away. Obviously depends on what happens with the war. If that's over again this weekend or whatever, then sure, there's no point in hiking in July. But if we have oil keep creeping higher, gasoline diesel keep creeping higher, and diesel is back above 5 a gallon nationwide, that's going to put a lot of pressure on that next print. And because you had such a good print this last month, that month over month base effect, you could have another one that was 0.5%.

months and for the for the July data if if energy keeps going here Because energy is gonna spill over and everything else And you had some one-offs that really flatter that number For June that aren't gonna repeat. That's one of the most really important things to look at whenever you kind of you know tear apart inflation that data is like Which of these is like a trend that can repeat in which these are sort of one-offs and some things reset annually things like that and this was kind of clearly a few one-offs and And for once, if you go look at kind of median and mean data, it was hotter than the headline data because of those one offs that kind of flattered that number, like I mentioned. So, you know, two years have kind of cooled off a little here. The dollar two degrees cooled off because of that June data. But, you know, you just kind of take a hard look at what's going on in the world other than housing. And there's just a lot of inflation out there. And there's a lot more to come, you know, down the pipeline. So I would be careful with a lot of these prognostications that we're about to have a really great bond bull market, and we're not going to get any rate hikes. In fact, there's still people calling for rate cuts this year. That is very difficult for me to see at the moment. But that's going to be interesting to watch going forward. I do applaud people put themselves out there saying, hey, it's time to buy bonds, and we're going to have rate cuts, and definitely no rate hikes.

It's a bold call, and I like when people make bold calls. I'll say that. Could the market's biggest blind spots put your retirement at risk? Investors and advisors are focused on AI, inflation, and conflicting headlines. But what if the real risk to your portfolio is something the market isn't seeing? You can join Bulwark Capital, Zach Abraham, for his free market blind spot webinar, July 23 at 3.30 Pacific. At our webinar, we'll expose blind spots investors may be overlooking. threats to your portfolio in the months ahead, plus a full reveal of how Bulwark is focused on risk management, always looking for opportunities to lower your risk, lower your cost, and give your retirement as much upside as possible. Have your questions answered during this live and free webinar. Register today at knowyourriskpodcast.com for the market blind spot webinar happening at 3.30 Pacific on July 23rd.

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expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ. I think the only thing I'll, other thing I'll talk about real quick is, is just the war. Um, and really, really not no big changes in the last 24 hours. Uh, but, but the big things for me is I think people are forgetting that, you know, The straight form moves can be turned on any moment, which means it's not as big a crisis as losing infrastructure. Some infrastructure may take six months, two years, whatever, to kind of get back online, whereas the straight being closed can be open tomorrow. So if we keep escalating, you can end up in a situation that is much worse than just a closed straight. If AppCake gets hit by 10 missiles, And Yambu gets, or just, you know, Babamandab, which is being very actively threatened all of a sudden, gets closed. If Fujera were to get hit, not just blockaded, but hit, and they're kind of under a missile blockade at the moment, we've seen a lot less of the shuttling of oil for the, well, for anybody, but, you know, the UAE especially. So to have this straight, go back to being, you know, forget 50% close or or 30% closed, but back to more like 80, 90% closed for petroleum flows. You're right back into a world where you could be looking at shortages before long. Now, that may obviously be product shortages because products are in much shorter supply than crude itself. And that's kind of obvious with crack spreads being somehow 70. And you have You know, we're seeing refiners kind of keep hitting new highs almost every day at this point you're gonna have pretty blockbuster earnings I would expect out of out of the refiner's probably the producers that do the refining to the integrated folks that do a lot of refining are probably gonna have pretty incredible earnings Question is this is gonna be a one quarter thing a two quarter thing or is that gonna last a while? That's gonna have a lot to do with with both Iran and and the war between Russia and Ukraine I don't think I don't think this whole time I thought the Russia-Ukrainian thing hasn't gotten enough credit in oil markets If like everyone's just staring at the Gulf and just kind of saying like that. Well, it's gonna be open in two weeks So we're gonna be okay. And meanwhile I you know a half a dozen tankers get hit every day of the Russians forget this forget the straight-up for moves and At least there's at least one refinery hit every day to the point where it looks like they're gonna have to shut in more production again in

Russia. So Russian production is like But that's getting very problematic. Now in a way, it's kind of supportive of crude in that they're exporting it, but at least for the moment supportive. But they're also going to have to lower their production. And they're going to have to import, which that is not great for the price of products, obviously. But just keep that in the back of your mind. If this does escalate, let's say the first couple of times the president threatened the power plants.

and infrastructure, obviously he did not follow through, but let's say he does this time. And the obvious retaliation from that is the Red Sea gets closed and maybe either Yambu or Fujaira or Appcake or something like that gets hit. So the point where, or, you know, just a bunch of production, you know, sites, like actual, you know, offshore platforms, things like that. Then you could be in a situation where the effect of supply and demand picture is significantly worse than it has been at any other point during the war. Obviously, that's nowhere near the price. It's nowhere near positioning. It's nowhere near sentiment. It's just bizarre to live in a world where that threat is out there. And I'm not even saying it's high probability. Not at all. I really don't even view it as high probability. But it's not zero. It's not 3%. It's not 5%.

it's higher. Even that 8% chance of those things happening, clearly, in my opinion, not in any of these prices. It's not in the positioning. It's not in sentiment, which means if it were to happen, then the gap you have to put in would be severe. You're talking limit up kind of stuff in energy markets, which would become its own problem for for fixed income, for FX markets, kind of you name it, right? And the destabilization of that, the macro destabilization of that, we just saw Korea 25% down in three weeks, just boom, and because of leverage. Well, if you don't think people are leveraged in equities right now, in certain trades and equities, in certain relationships between factors, in certain relative value trades, not just in treasuries, but in different equity markets. The leverage that's out there, a lot of it is under the surface. You can't really see it. But what gets out the highlighter and shows it to you and makes it glow in the dark would be something like, oh, oil's up 18% in two days. Things like that. Obviously, the price of the pump spiraling higher quickly has its own host of issues that it brings but for consumption for you know basket of equities tied to How

much money like regular people get to spend? And obviously Let's say this terrible scenario plays out. Congress probably comes riding to the rescue with an inflationary stimulus check bill To help people pay for gas that is running short, you know, like It's easy to picture a very difficult scenario. And again, this is just it's just in the price of nothing. It's it's like a risk that doesn't exist to markets or market participants. And again, I'm not saying it's an 80% risk or 60% risk or even a 40% risk. I just know that it is one. And I'll just leave you that something to keep it back in your mind. And I just posted a really good quote from I was reading a really good book from Ed Thorpe, his autobiography, and he talked about, if you want to know if you have too much leverage, basically, what's the worst thing that can happen to your portfolio? Can you survive that? If the answer is no, then you have too much leverage on. Go take some off. And I think if the average portfolio were to be like, all right, will we be okay with our positioning with our leverage? If Yan Bu and Fujairi get taken offline over the weekend, the answer would be a resounding no for almost every portfolio.

Obviously, for the giant short position we see in Brent crude, right? Like all these kinds of things. So just something to keep in mind, but be back with more tomorrow and I may be flying solo again tomorrow. I'm not sure. We'll see how that goes. But until then, don't forget to download and subscribe and know your wrist podcast.com. Check us out on YouTube and and spread the word. Alright, cheers.